Trump-Putin diesel deal won't halt escalation

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Daily Brief
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summary

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Despite President Donald Trump's diesel deal with Russia and his announcement of an energy ceasefire, escalation between Russia and Ukraine remains the basecase, and the deal will barely move US pump prices before the midterms.
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Senator Flavio Bolsonaro's odds of winning Brazil's presidency have risen to 80% from 70%, as early runoff polls show him leading President Luiz Inacio Lula da Silva by 4 to 6 points.
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Ian Bremmer assesses who is in charge of AI, why leverage in the Iran war is tilting toward Washington, and what a plague scare reveals about Russia’s crisis management.
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EU quotas on Chinese cars are unlikely to reverse Europe’s widening auto trade deficit with China, now €33.5 billion and nearly four times the US gap.
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Brussels will use the Digital Markets Act's data, device, and cloud rules to shape the AI market, favoring product-design mandates over blockbuster fines.
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Countries and sectors in this edition of the Daily Brief include the US, Bolivia, Brazil, the EU, India, Iran, Mexico, Russia, Thailand, Ukraine, energy, geoeconomics, and geo-technology.

the top line

Russia, Ukraine, US—Trump's diesel deal won't move prices or deliver an energy truce

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A durable energy ceasefire remains unlikely despite President Donald Trump's announcement. Neither Moscow nor Kyiv appears to have committed to a truce, and the Kremlin sees cold-weather strikes as central to forcing Kyiv into concessions. Escalation remains the basecase for the rest of the year.
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The diesel purchases, together with the Treasury license running through 7 April, will barely affect US pump prices before the 3 November midterms. The first tranche of about 300,000 tons covers roughly half a day of US distillate consumption, and Russia's gains would equal at most about 0.05% of its GDP.
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The dispute is a setback, not a rupture, for US-Ukraine relations. It raises the risk that Washington cuts intelligence sharing and halts arms sales, but those threats carry less weight now that Europe provides more support. Another perceived US betrayal would likely strengthen President Volodymyr Zelensky at home and in Europe.
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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Brazil—Lula will struggle to overturn Bolsonaro's runoff lead

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EG has raised Bolsonaro's odds of winning Brazil's presidency to 80% from 70% after early runoff polls showed him leading President Lula by 4 to 6 points. That gap is wider than EG expected, as voters who backed eliminated candidates broke more heavily for Bolsonaro.
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Lula's message still fails to match swing voters' desire for change, and moves such as giving Vice President Geraldo Alckmin a larger role are likely too late. To swing the race, the Workers' Party needs a highly effective campaign against Bolsonaro and a strong debate performance.
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Brazil's 2014 election and Colombia's this year show that negative campaigning can reposition a trailing candidate, so polls could tighten before the runoff. But Lula would need to flip votes, win over alternative-candidate voters, and cut abstention all at once, making a reversal very unlikely.
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Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

EG Update—Ian Bremmer on AI governance, the Iran war, and a rogue Russia

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AI governance: The science of artificial intelligence is advancing faster than our understanding of how frontier models work... Even though AI leaders all have two feet on the accelerator, three types of governance are clearly needed: AI as superweapon, as systemic infrastructure, and as driver of globalization. Right now, none of these governance capabilities are being developed.
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Iran: Conflict over the Strait of Hormuz...has of late trended toward the United States’ position, with the US naval blockade now the principal mechanism of warfare. With leverage tilting toward the Americans, Iran’s efforts to strike at ships are increasing... It’s a waiting game—likely for a matter of months.
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Russia: A bio-laboratory researcher died with an unknown infection, and hundreds of people were quarantined... It’s worth watching this bioscare—not because we’re about to face a new pandemic, but to learn as much as possible about the state of President Vladimir Putin’s crisis management capabilities.
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For more of Ian’s insights, read this week’s EG Update .

Geoeconomics, Europe, China—Chart of the Day

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Europe’s auto trade balance with China has swung from an annualized surplus of €20–30 billion in the late 2010s to a €33.5 billion deficit, nearly four times the US gap.

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EU quotas on Chinese cars announced on Friday are unlikely to reverse the slide, though they could slow the widening of the deficit.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

EU, Geo-technology—Brussels will use DMA to regulate AI while avoiding mega-fines

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EU officials will use the Digital Markets Act's (DMA) existing data, device, and cloud rules to regulate the AI market rather than formally adding AI to the law's scope. The aim is to stop tech companies from leveraging strength in adjacent markets, such as cloud or operating systems, to reinforce their position in AI.

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The decline in blockbuster fines reflects political caution, not retreat. The European Commission will increasingly rely on specification decisions that prescribe how companies must design products, as with July's rulings requiring Google to share search data and extend system-level Android access to third-party AI assistants unvetted by the company.

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This approach lowers the risk of fines-driven tariff retaliation and could open AI ecosystems to smaller players, but will not fundamentally alter AI market structure. Mandated changes to US firms' product design will nonetheless give Washington more ammunition for its planned Section 301 investigation into digital trade barriers.

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Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

Thailand—Stability lifts investment, but Bangkok risks falling behind peers

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Prime Minister Anutin Charnvirakul's government hopes this week's IMF and World Bank Annual Meetings in Bangkok will improve Thailand's economic image. A rare period of political stability—Anutin has a decent shot at completing a full four-year term—has revived business confidence, with domestic and foreign investment growing strongly.

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Thailand nonetheless risks slipping behind regional peers on trade deals. It has yet to reach an Agreement on Reciprocal Trade with Washington, though a deal seems close. It is also the only major ASEAN country neither in nor applying to join the Comprehensive and Progressive Agreement for Trans-Pacific Partnership.

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Growth still trails most regional peers, and there are few signs the government has the will or ability to tackle deep structural challenges, including rising labor costs, skill shortages, and severe demographic

pressure.

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Read more here . Reach out to discuss: southeastasia@eurasiagroup.net .

upcoming conference calls

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13 October 10:45 AM ET—Brazil update. Register here .

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14 October 10:00 AM ET—Israeli election outlook with Ambassador Daniel Shapiro. Register here .

eg in brief

US—Proposed work authorization fee would roil universities and corporates: The Department of Homeland Security has proposed a $70,000 fee, which universities would pay, for international graduates to access the Optional Practical Training (OPT) program, part of a broader crackdown on skilled immigration driven by Vice President JD Vance. More than a quarter million graduates are on OPT each year, and it is a major source of entry-level, college-educated workers at major corporations. If finalized unaltered, the rule would make it much harder for US universities to recruit international students and force companies to rebuild junior hiring pipelines. Industry and university responses during the comment period are a key watchpoint, and the administration could still loosen the proposal. Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Bolivia—Paz will struggle to deliver IMF-backed fiscal adjustment: The $1.9 billion IMF Extended Fund Facility approved on 2 October will provide much-needed liquidity and help unlock other multilateral financing, but it centers on an aggressive fiscal adjustment totaling 8.5% of GDP. Most of the adjustment hinges on President Rodrigo Paz's willingness to implement costly measures, including further fuel price liberalization and shuttering state-owned entities, which will likely generate social pushback and force him to backtrack on some elements. With his approval stable at 21% after a steady decline, Paz has limited political capital, and fresh corruption scandals would add to meaningful risks to his tenure. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

India—Central bank hikes rates as inflation broadens: The Reserve Bank of India (RBI) raised interest rates by 25 basis points to 5.5% on 7 October, its first move since December 2025, and shifted its stance to "calibrated tightening," with further hikes possible in December and February. Inflation that was concentrated in energy-related sectors has become generalized, and the RBI expects it to peak at 6% in the fourth quarter. Rising US bond yields were a key factor: even after the hike, the spread between Indian and US 10-year yields is at a 22-year low, contributing to about $30 billion in foreign outflows from Indian equities this year and pressuring the rupee. Read more here . Reach out to discuss: southasia@eurasiagroup.net .

Mexico—Inflation pressures will constrain Banxico's policy options: Headline inflation rose for a second consecutive month to 3.45% in September, driven mainly by volatile agricultural prices. Minutes from the central bank's (Banxico's) latest meeting revealed a more divided board than its unanimous decision to hold rates at 6.5% suggested. Banxico is increasingly willing to tolerate some divergence from the

Federal Reserve, but the margin for further easing is narrow, with Iran war disruptions and El Niño raising the risk of persistently high non-core inflation. Persistently higher prices would both narrow Banxico's room to ease and raise the fiscal cost of President Claudia Sheinbaum's efforts to protect households. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Upcoming events:

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12 October: Events: IMF-World Bank meetings begin in Bangkok, through 18 Oct, the Warsaw Security Forum begins through 13 Oct while EU foreign ministers meet in Luxembourg, Bond markets close in the US for Columbus Day observance; Data: Mexico industrial production (IP), and Russia trade.
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13 October: Events: IMF launches World Economic Outlook and OPEC releases its monthly oil report; Data: Argentina CPI, Japan PPI, and US federal budget balance.
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14 October: Events: US Federal Reserve releases Beige Book and IEA releases monthly oil market report; Data: China trade, PPI, and CPI, US CPI.
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15 October: Data: Eurozone, UK and Japan IP, UK GDP, and US retail sales and PPI.
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16 October: Data: Eurozone CPI, US cross-border investment, IP, and import price index.

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We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

“Immediately after [Trump’s] post, Russia launched a targeted strike... It was clear that Putin does not read Truth Social.”—Ukrainian President Volodymyr Zelensky said at the Warsaw Security Forum on 12 October.

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